
2:00 PM **LINE 2**

24-CIV-04923

SUSAN CARROLL VS. ROBERT JOSEPH STEGER, ET AL

SUSAN CARROLL
ROBERT JOSEPH STEGER

QUINTON B. CUTLIP
STEFANIE DESALERNOS

DEFENDANT ROBERT STEGER'S MOTION FOR DETERMINATION OF GOOD FAITH SETTLEMENT CCP 877.6

TENTATIVE RULING:

The Motion for Good Faith Settlement, filed by defendant Robert Steger, is **DENIED without prejudice**.

Steger has not sufficiently set out facts that meet the standard for approval of a good faith settlement determination pursuant to Code of Civil Procedure, sections 877 and 877.6, and per the factors set out in *Tech-Bilt Inc. v. Woodward-Clyde & Assoc.* (1985) 38 Cal.3d 488, 499 (*Tech-Bilt*). The factors set out in *Tech-Bilt* require the court to consider:

1. A rough approximation of plaintiffs' total recovery and the settlor's proportionate liability,
2. the amount paid in settlement,
3. the allocation of settlement proceeds among plaintiffs, and
4. a recognition that a settlor should pay less in settlement than he would if he were found liable after a trial,
5. the financial conditions and insurance policy limits of settling defendants, and
6. the existence of collusion, fraud, or tortious conduct aimed to injure the interests of nonsettling defendants.

(*Tech-Bilt*, *supra*, 38 Cal.3d at p. 499.)

Steger has only addressed the question of the amount of available insurance coverage, explaining that the settlement is \$10 less than his policy limits. While that is a factor to be considered, it is not the sole factor. In particular, Steger has not supplied a "rough approximation of plaintiffs' total recovery and the settlor's proportionate liability."

Hoseley Corporation and the State of California oppose the motion, arguing that Steger has failed to supply sufficient evidence to permit the court to review the settlement.

The court requires additional information before it can make a good faith determination. In any future motion for good faith settlement determination, Steger should provide information and evidence regarding the application of the *Tech-Bilt* factors to the settlement.

If the tentative ruling is uncontested, it shall become the order of the court. Thereafter, Hoseley Corporation's counsel shall prepare a written order consistent with the court's ruling for the court's signature, providing written notice of the ruling to all parties who have appeared in this action, pursuant to California Rules of Court, Rule 3.1312 and Local Rule 3.403(b)(iv), which states in part that the "prevailing party on a tentative ruling is required to prepare a proposed order *repeating verbatim the tentative ruling*" (emphasis added). The order should be e-filed only, do not email or mail a hard copy to the court.

2:00 PM **LINE 3**

25-CIV-06776

JIPEI (JEFF) WANG, ET AL VS. BKF ENGINEERS, ET AL

JIPEI (JEFF) WANG
BKF ENGINEERS

JOHN F. DOMINGUE
SAMUEL Y. EDGERTON

DEMURRER TO PLAINTIFFS' COMPLAINT BY DEFENDANTS, BKF ENGINEERS, FKA BRIAN KANGAS FOULK, GREGORY HURD, DANIEL SCHAEFER, CHRISTOPHER RIDEOUT, ERIC GIROD, JAMES DALLOSTA, JEAN CHEN, BRIAN SCOTT, AND JASON WHITE

TENTATIVE RULING:

Defendants BKF Engineers, fka Brian Kangas Foulk (BKF), Gregory Hurd, Daniel Schaefer, Christopher Rideout, Eric Girod, James Dallosta, Jean Chen, Brian Scott, and Jason White's Demurrer to each cause of action in plaintiffs Jipei (Jeff) Wang and John Lamon's Complaint is **SUSTAINED with leave to amend** as to the individual defendants; and **SUSTAINED without leave to amend** as to the first cause of action for breach of fiduciary duty as against defendant BKF.

Any amended complaint must be filed within ten (10) days of notice of entry of the formal order.

Defendant BKF is an engineering firm, first formed in 1915. (Complaint, ¶ 14.) Plaintiffs Jipei Wang and John Lamon were employees of BKF for over 30 years. (*Id.*, ¶ 15.) At all relevant times, plaintiffs were non-voting Series B shareholders, each holding 208 shares of BKF stock. (*Id.*, ¶ 16.) Wang retired effective January 5, 2024, and Lamon retired effective March 31, 2024. (*Id.*, ¶ 15.) As shareholders, plaintiffs were each a party to the BKF Engineers' Amended and Restated Buy-Out Agreement dated November 27, 2023 (Buyout Agreement). (*Id.*, ¶ 17.)

Plaintiffs allege that beginning in early 2023, BKF began communicating with a private equity firm, Long Point Capital, regarding the possible acquisition of the company. (Complaint, ¶ 26.d.) BKF began receiving letters of interest from potential acquirors in mid-2023. (*Ibid.*) On November 15, 2023, BKF received a nonbinding letter of intent from Long Point. (*Id.*, ¶ 26.e.) BKF received a second nonbinding letter of intent from Long Point on March 5, 2024. ((*Id.*, ¶ 26.f.) Long Point formed an acquiring entity in July 10, 2024, and the merger closed on August 23, 2024. (*Id.*, ¶¶ 26.h, i.)

Upon their respective retirements, plaintiffs Wang and Lamon each received repayment promissory notes in the principal amount of \$191,403.68 for their respective 208 shares of BKF, at a repurchase price of \$920.21 per share. Plaintiffs allege that the defendants concealed the merger discussions from them, and that they would have received significantly more value per share under the terms of the sale had they waited to retire. Plaintiffs further allege the language
